Syllabus

FEDERAL COMMUNICATIONS COMMISSION, ET AL. *v.* AT&T, INC.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT

No. 25–406. Argued April 21, 2026—Decided June 4, 2026*

The Communications Act of 1934, as amended, authorizes the Federal Communications Commission to investigate regulated parties for suspected violations of the communications laws and to seek monetary forfeitures for violations of those laws. 47 U. S. C. § 503(b). In these cases, the Commission investigated cellular service providers AT&T and Verizon (collectively, the carriers) regarding their treatment of customer location data. Believing that the carriers had violated laws and regulations requiring them to take reasonable steps to keep location data confidential, the FCC sought forfeitures from the carriers. The Commission first issued the carriers notices of apparent liability under § 503(b)(4), which specified the factual and legal bases for the forfeitures the Commission sought. After reviewing the carriers' responses, the Commission "determined" that the carriers were liable and "assessed" penalties of roughly $57 million against AT&T and $47 million against Verizon. §§ 503(b)(1), (b)(2)(E).

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Once the Commission issues an order, the recipient has two options. First, it may seek review in the court of appeals under the Hobbs Act. See 28 U. S. C. § 2342(1). The court of appeals, sitting without a jury, then reviews the order on the administrative record under the standards set forth in the Administrative Procedure Act. 47 U. S. C. § 402(a); 28 U. S. C. § 2347(a); 5 U. S. C. § 551 *et seq.*, and § 701 *et seq.* The recipient may also opt to do nothing. In the event of nonpayment of a forfeiture penalty "determined under [§ 503(b)(4)]," the penalty "shall be recoverable . . . in a civil suit in the name of the United States." 47 U. S. C. § 504(a). The Commission may then refer the matter to the Department of Justice, which in turn may—but need not—bring a civil suit within five years of the issuance of the order. 28 U. S. C. § 2462. That suit "shall be a trial de novo." 47 U. S. C. § 504(a). The regulated party may, of course, pay the forfeiture voluntarily. But until it does, or the court in a § 504 enforcement action orders payment, the Commis-

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*Together with No. 25–567, *Verizon Communications, Inc.* v. *Federal Communications Commission, et al.*, on certiorari to the United States Court of Appeals for the Second Circuit.

sion may not use the "notice of apparent liability . . . to the prejudice of" the party in other Commission proceedings. § 504(c).

Here, the carriers paid their penalties and filed petitions for review in their respective Courts of Appeals. They argued that requiring forfeiture without the opportunity for a jury trial violates the Seventh Amendment. The Fifth Circuit granted AT&T's petition for review and vacated the Commission's order. The court held that the FCC's enforcement procedures violate the Seventh Amendment because by the time the Commission issues a forfeiture order, it "has already found the facts, interpreted the law, adjudged guilt, and levied punishment"—all without the involvement of a jury. 149 F. 4th 491, 503. The Second Circuit denied Verizon's petition for review on the ground that the FCC's forfeiture order did not itself compel payment; the Department of Justice "needs to initiate a collection action" under § 504 before the carrier can be made to pay. 156 F. 4th 86, 106. The court thus held that the Commission does not violate the Seventh Amendment when it issues forfeiture orders without a jury. See *id.*, at 107. This Court granted certiorari as to both decisions to resolve the conflict.

Held: Because forfeiture orders issued under § 503(b)(4) do not definitively resolve the parties' legal obligations, and the FCC's factual findings in its forfeiture proceedings are not conclusive, it does not violate the Seventh Amendment for the Commission to issue forfeiture orders without the involvement of a jury. Pp. 540–548.

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(a) The FCC's forfeiture proceedings fit comfortably within the Court's Seventh Amendment precedents. The Seventh Amendment "preserve[s]" the right to trial by jury in "Suits at common law," and applies in all proceedings in which "legal rights" are to be "settle[d]," *Parsons* v. *Bedford*, 3 Pet. 433, 447. It does not, however, "prescribe at what stage" of a legal dispute "a trial by jury must, if demanded, be had." *Capital Traction Co.* v. *Hof*, 174 U. S. 1, 23. The Amendment requires only that, before legal rights and obligations are conclusively "ascertained and determined," *Parsons*, 3 Pet., at 447, a party has the chance to insist that a jury make the "ultimate determination of issues of fact," *Ex parte Peterson*, 253 U. S. 300, 310. Consistent with these principles, this Court has upheld nonjury adjudications making initial findings of fact that are subject to *de novo* review in a subsequent jury trial. See, *e. g.*, *Meeker* v. *Lehigh Valley R. Co.*, 236 U. S. 412; *Peterson*, 253 U. S., at 310. Given the similar features of the Commission's enforcement scheme, the Commission may issue forfeiture orders without the involvement of a jury.

The forfeiture orders at issue in these cases did not settle the carriers' legal obligations because they did not create an obligation to pay. The

statute nowhere gives the Commission the authority to execute on a forfeiture order; a recipient of a forfeiture order incurs no penalties for nonpayment; interest does not accrue on the sum; and under § 504(c) the Commission cannot hold "the existence of a notice of liability or an order of forfeiture" against a regulated party "unless the forfeiture has been paid or a court" has ordered payment. *Pleasant Broadcasting Co.* v. *FCC*, 564 F. 2d 496, 500 (CADC); see also 15 FCC Rcd. 303, 304. The statute thus prevents the Commission from penalizing a party for failing to act in response to the mere existence of a forfeiture order, which in turn suggests that the party need not comply in the first place.

The orders also did not reflect the ultimate determination of any fact. The statute provides that forfeitures under § 503(b)(4) "shall be recoverable," exclusively, in a "trial de novo." § 504(a). Thus, for the purpose of a § 504 trial—the only means by which the Government can collect a penalty—it is as if the Commission never found any facts at all. Before a regulated party can be made to pay, the jury gets the last word. Pp. 540–543.

(b) The carriers insist that they actually *must* pay because § 503 uses words that sound mandatory—the Commission "determine[s]" whether a forfeiture is appropriate, "assesse[s]" the "amount" of such a penalty, and "impose[s]" that penalty. §§ 503(b)(1), (b)(2)(E), (b)(4). But the proper understanding of such statutory terms depends on "their place in the overall statutory scheme." *Turkiye Halk Bankasi A.S.* v. *United States*, 598 U. S. 264, 275 (internal quotation marks omitted). And under the statute at issue here, the Commission is powerless to visit any adverse consequences on a regulated party who receives a forfeiture order.

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SEC v. *Jarkesy*, 603 U. S. 109, proves the point. In *Jarkesy*, the Court held that the Securities and Exchange Commission (SEC) could not impose civil penalties using its in-house administrative process. Those penalties were immediately enforceable; the SEC could garnish the recipient's wages or deduct a portion of the forfeiture from his tax return. See 17 CFR §§ 204.50, 204.52, 204.54–204.56, 204.60–204.65. And if the SEC were required to resort to judicial means of enforcement, no jury was available—at least as to the underlying legal violation. See 15 U. S. C. § 78u(e); see, *e. g.*, *SEC* v. *Gerasimowicz*, 9 F. Supp. 3d 378, 381–382 (SDNY). That means that, unlike here, the ultimate determination of the facts giving rise to the obligation to pay rested with the agency alone.

The carriers argue that even if the Commission's orders do not require payment, the Seventh Amendment nonetheless applies because forfeiture orders have legal *effect*—namely, they enable the Department of Justice to initiate a § 504 suit. But the Seventh Amendment "secure[s]

a right to the individual," *Parsons* v. *Armor*, 3 Pet. 413, 425, that attaches when "legal rights" are to be "determined," *Lorillard* v. *Pons*, 434 U. S. 575, 583. A forfeiture order under 47 U. S. C. § 503(b)(4) does not determine legal rights; it is simply a "prerequisite[ ] to suit" that must be met before the Department may bring a collection action. The Seventh Amendment does not extend to such "preliminary" procedures. *Peterson*, 253 U. S., at 310.

Finally, the carriers argue that FCC forfeiture orders cause reputational and practical harms entitling them to a jury, "even where no money is at stake." Brief for AT&T, Inc., et al. 35–36. This argument is hard to square with the text of the Seventh Amendment, and in any event proves too much. Reputational harm may befall any party in the preliminary stage of a legal proceeding, yet this has never been thought to pose a Seventh Amendment problem. Pp. 543–546.

(c) The Court's unconstitutional conditions doctrine—which "vindicates the Constitution's enumerated rights by preventing the government from coercing people into giving them up," *Koontz* v. *St. Johns River Water Management Dist.*, 570 U. S. 595, 604—is a poor fit for this case. The Seventh Amendment applies only to "[s]uits," and the only suit in the statutory scheme is a § 504 enforcement action. If the carriers elect not to pay and await an enforcement action, and the Department of Justice decides never to bring one, then the carriers' jury right does not attach.

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The carriers argue that if they insist upon their jury right and wait for an enforcement suit, the Commission will use the existence of the order and the fact of nonpayment against them. But § 504(c) prohibits the Commission from using unresolved forfeiture proceedings to a regulated party's prejudice in subsequent Commission proceedings. While the Commission may consider the facts *underlying* the unresolved forfeiture in a future proceeding, see 12 FCC Rcd. 17087, 17103, the regulated party will have a chance to contest those facts anew. And before any asserted fact can be used to support a binding order to pay, the Government must prove it to a jury. Finally, the carriers contend that the risk of reputational harm unduly burdens their jury right, but the uncertain prospect of such harm does not improperly "discourag[e] the exercise" of that right. *Chaffin* v. *Stynchcombe*, 412 U. S. 17, 30. Pp. 546–548.

No. 25–406, 149 F. 4th 491, reversed and remanded; No. 25–567, 156 F. 4th 86, affirmed.

ROBERTS, C. J., delivered the opinion of the Court, in which ALITO, SOTOMAYOR, KAGAN, GORSUCH, KAVANAUGH, BARRETT, and JACKSON, JJ., joined. THOMAS, J., filed a dissenting opinion, *post*, p. 547.

Jeffrey B. Wall argued the cause for respondent in No. 25–406 and petitioner in No. 25–567. With him on the briefs were *Morgan L. Ratner*, *Pratik A. Shah*, and *Scott H. Angstreich*.

Vivek Suri argued the cause for petitioners in No. 25–406 and respondents in No. 25–567. With him on the brief were *Solicitor General Sauer*, *Acting Assistant Attorney General Assefi*, *Deputy Solicitor General Stewart*, *Robert B. Nicholson*, *Matthew A. Waring*, *D. Adam Candeub*, *Jacob M. Lewis*, *Sarah E. Citrin*, and *Scott M. Noveck*.†

CHIEF JUSTICE ROBERTS delivered the opinion of the Court.

The Communications Act authorizes the Federal Communications Commission to investigate regulated parties for

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†Briefs of *amici curiae* urging reversal in No. 25–406 and affirmance in No. 25–567 were filed for Citizens Utility Board of Illinois by *Caroline A. Flynn*; for the Constitutional Accountability Center by *Elizabeth B. Wydra*, *Brianne J. Gorod*, and *Joshua D. Blecher-Cohen*; and for Former FCC Chairs et al. by *Pooja A. Boisture*, *Steven Y. Bressler*, and *Brian D. Netter*.

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Briefs of *amici curiae* urging affirmance in No. 25–406 and reversal in No. 25–567 were filed for The Buckeye Institute by *David C. Tryon*; for the Cato Institute by *Thomas A. Berry* and *Brent Skorup*; for the Chamber of Commerce of the United States of America et al. by *Steven A. Engel*, *Michael H. McGinley*, and *Brian A. Kulp*; for CTIA–The Wireless Association et al. by *Joshua S. Turner*; for the Manhattan Institute et al. by *Peter Karanjia*, *Ilya Shapiro*, *Trevor Burrus*, and *John W. Whitehead*; for National Religious Broadcasters by *Michael P. Farris*; for the Pacific Legal Foundation by *Allison D. Daniel*, *Joshua M. Robbins*, and *Oliver J. Dunford*; for TechFreedom by *Corbin K. Barthold*; for Telnyx LLC by *Michael R. Huston*, *Addison W. Bennett*, and *Nicholas S. Crown*; for T-Mobile USA, Inc., by *Helgi C. Walker*, *Russell B. Balikian*, *Giuliana Cipollone*, and *Aly Cox*; for Vaping Industry Stakeholders by *J. Gregory Troutman*; and for the Washington Legal Foundation by *Joshua M. Wesneski* and *Cory L. Andrews*. *Jeffrey M. Schwab* filed a brief in both cases for the Liberty Justice Center as *amicus curiae* urging affirmance in No. 25–406.

Briefs of *amici curiae* were filed in both cases for the Institute for Justice by *Robert Johnson*; for the New Civil Liberties Alliance et al. by *Russell G. Ryan* and *Markham S. Chenoweth*; and for *Ilan Wurman*, *pro se*.